

# Foundational Adaptive

The Foundational three-factor core with an adaptive overlay that cuts gross exposure when the market backdrop turns adverse.

Foundational Adaptive integrates three orthogonal factors: momentum, mean reversion and enhanced carry. The momentum component captures assets with strong, persistent price trends; the mean reversion component captures assets with medium-term mean reversion effects; and the carry strategy seeks to profit from funding rates and related statistical price distortions.

The Adaptive overlay reduces the portfolio's gross exposure when market conditions are adverse. This may result in prolonged periods of very small (<10%) gross exposure.

All have been inspired by the academic literature, with proprietary enhancements.

The asset universe consists of the most liquid and actively traded assets, identified on a rolling basis – various techniques are employed to keep it both stable and relevant, as well as survivorship-bias free.

To balance each asset's risk contribution, positions are scaled according to the inverse of their rolling volatility.

The portfolio is rebalanced daily, with hourly updates provided, 5 minutes past the hour (UTC).

## TOP 40 CROSS-SECTIONAL MULTI-FACTOR PORTFOLIO

Top 40 market-cap universe • up to 200% gross exposure, scaled down adaptively in adverse conditions. Blends 3 orthogonal factors into one diversified, point-in-time stream; inverse-vol sized, rebalanced daily.

[Download Returns \(CSV\)](#) →

### PERFORMANCE

Report Period Start Date Jan 2020 • End Date Aug 2026

#### Cumulative Returns

| MTD  | Last Month | 1M    | 3M   | YTD   |
|------|------------|-------|------|-------|
| 0.2% | −0.3%      | −0.1% | 7.9% | 17.9% |

#### Annualised Returns (CAGR)

| 1Y    | 3Y    | 5Y    | SI    |
|-------|-------|-------|-------|
| 28.4% | 45.2% | 25.6% | 64.4% |

### RISK PROFILE

#### Realised Volatility (annualised)

| 1M   | 3M   | 1Y   | 3Y    | 5Y    | SI    |
|------|------|------|-------|-------|-------|
| 2.8% | 9.9% | 9.3% | 17.3% | 16.0% | 23.5% |

#### Max Drawdown

| %      | Date       |
|--------|------------|
| −26.2% | 2021-02-18 |

#### CUMULATIVE RETURN



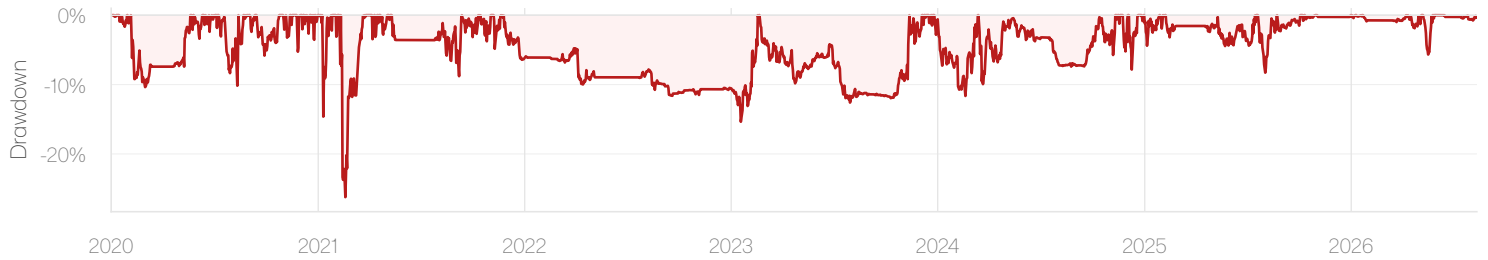
Note – Performance is for the Foundational Adaptive multi-factor portfolio (component factors blended and rescaled across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

# Portfolio Analysis

[Download Returns \(CSV\)](#) →

Portfolio-level diagnostics for the live multi-factor strategy: the cumulative compounding profile shown on page 1 broken into its drawdown trajectory, calendar-month returns, rolling risk-adjusted return and rolling gross exposure. Constituents: Momentum, Mean Reversion, Enhanced Carry.

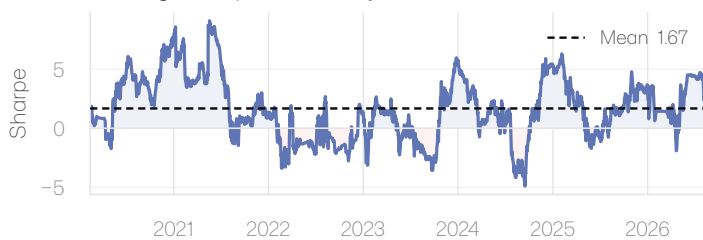
## Drawdown



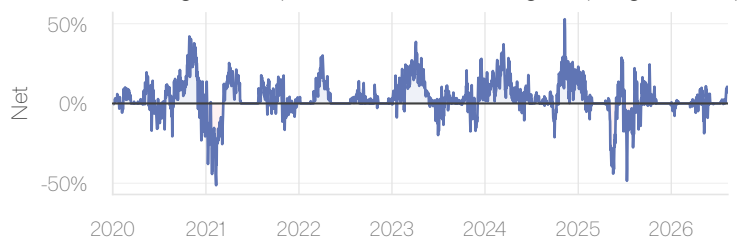
## Monthly Returns • calendar-month, compounded

|      | Jan    | Feb    | Mar    | Apr    | May    | Jun    | Jul   | Aug    | Sep   | Oct    | Nov    | Dec    | Year    |
|------|--------|--------|--------|--------|--------|--------|-------|--------|-------|--------|--------|--------|---------|
| 2026 | +0.3%  | +0.0%  | -0.1%  | +1.1%  | +13.2% | +2.9%  | -0.3% | +0.2%  |       |        |        |        | +17.9%  |
| 2025 | +1.3%  | +3.4%  | +0.0%  | +0.3%  | -1.3%  | -1.0%  | -0.2% | +6.5%  | +0.1% | +6.1%  | -0.2%  | +0.4%  | +16.1%  |
| 2024 | -5.1%  | -0.3%  | +8.7%  | +0.5%  | -0.1%  | -1.7%  | -3.4% | -0.5%  | +2.9% | +0.2%  | +32.9% | +18.5% | +58.4%  |
| 2023 | -2.7%  | +11.8% | -0.6%  | -3.7%  | +2.3%  | -1.1%  | -5.7% | +1.0%  | -0.2% | +2.7%  | +6.8%  | +28.6% | +41.2%  |
| 2022 | +0.1%  | -0.2%  | +0.9%  | -3.1%  | -0.5%  | +0.0%  | +0.5% | -1.5%  | -1.3% | -0.1%  | +0.6%  | +0.2%  | -4.6%   |
| 2021 | +58.6% | +5.6%  | +21.9% | +32.3% | +11.5% | +0.0%  | +0.1% | +1.9%  | +0.7% | -1.1%  | +9.4%  | -3.2%  | +224.1% |
| 2020 | +9.5%  | -7.9%  | +2.7%  | +0.1%  | +9.7%  | +10.3% | +5.8% | +18.1% | +3.8% | +12.2% | +27.9% | +21.2% | +183.0% |

## Rolling Sharpe • 90-day, annualised



## Rolling Net Exposure • sum of weights (long – short)



## ABOUT UNRAVEL

Unravel publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – designed to be combined into multi-factor portfolios that diversify away single-factor risk. Full catalog, methodology and API at [unravel.finance](https://unravel.finance); see the materials below.

[View this portfolio on unravel.finance](#) →

[Replication notebook – multi-factor construction](#) →

Have further questions? Book a call with our team – [unravel.finance/booking](https://unravel.finance/booking)

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